

ANI

UNCLAIMED DIAMOND
The Surat Diamond Bourse, which has yet to take off

GUJARAT

A Struggle to Sparkle

By Jumana Shah

It was a plan that glittered like a freshly cut gem. Five years ago, the Surat Diamond Bourse (SDB) was deemed the perfect antidote for the growing chaos and cost inflation of Mumbai, where most of India's diamond traders are based—swankier, cheaper and larger offices for diamond traders, wider roads, planned international and national air connectivity through an upgraded airport. The icing on the top would be the proposed bullet train connecting Surat with Mumbai's Bandra-Kurla Complex (BKC) within two hours. It was conceptualised with an explicit, and ambitious, mission of replacing Mumbai's BKC-based Bharat Diamond Bourse (BDB) as India's main diamond trading hub—a kind of natural forward integration, since almost all the diamonds traded in Mumbai are polished in Surat. But the perfect plot on paper has palled considerably when put in practice. Seven months after its inauguration by Prime Minister Narendra Modi, only 60 of the SDB's 4,200 offices are functional. Though backed by an assertive BJP government, it has failed to motivate traders from Mumbai to expand or shift out of the metropolis. The reasons range from a downturn in the global premium jewellery market to a perceived lack of ecosystem in Surat.

Ahead of the SDB's inauguration in December 2023, one of the world's largest polished diamond exporters, Kiran Gems, shifted their headquarters, with 1,500 employees, from the BDB to Surat's swanky complex. As chairman of both SDB and Kiran Gems, Vallabh Lakhani owned one lakh sq feet of space in the office complex to inspire other traders to follow suit. But he failed to emerge as a Pied Piper. When Mumbai diamond traders/ diamantaires refused to move, Lakhani reopened his Kiran Gems offices in BDB in January 2024, shifting most of his employees back. Since then, the SDB—touted the "world's largest working space"—has acquired the moniker of a 'ghost building'. Lakhani resigned as SDB chairman in March.

The SDB's fading sparkle has reignited a debate—how realistic is it for commercial operations based in Mumbai to shift to Gujarat? The SDB was the first project designed with this